

China Macro Tracker

Economics China

Financial opening-up

- ◆ The Lujiazui Forum focused on RMB internationalisation, further opening-up, and enhancing the monetary toolkit
- ◆ China unveiled an action plan to better utilise foreign investment, increase market access, and encourage R&D
- ◆ Muted consumption during the Dragon Boat festival and “6.18”, fiscal spending slowed in May, and SLGB needs a lift

Lujiazui Forum: RMB internationalisation and monetary reforms in focus

The 2026 Lujiazui Financial Forum was held on 17-18 June, with China's top financial regulators (including leaders from the PBOC, NFRA, CSRC and SAFE) participating. The commitment to high-level opening-up, capital market reforms, and monetary policy reform was evident in their speeches, while a slew of measures was also unveiled (see Table 1).

The Forum sent a clear signal of support for high-level financial opening-up. Authorities will pilot offshore financial activities, covering areas such as offshore trade finance, free trade zone offshore bonds, and offshore reinsurance. Offshore FX trading in the Shanghai FTZ by six large domestic commercial banks and a new RMB Repo Facility for central banks were also introduced (Foreign and International Monetary Authorities (FIMA) RMB Repo). The moves could support liquidity and aligns with the 15th FYP's incentive to promote RMB internationalisation, high-level opening-up, and support Chinese companies' global strategy.

On the monetary policy front, the PBOC announced adjustments and enhanced use of the temporary overnight repo and reverse repo operation tools (which were introduced in July 2024). The rates will be set at 25bp below and above the policy rate (seven-day reverse repo rate), meaning a narrower and symmetrical rate corridor of 50bp versus 70bp previously. This should help control volatility of front-end interbank borrowing costs, which typically shows seasonal spikes towards quarter-end (Chart 31). This may also pave the way for eventual use of the overnight rate as the key policy rate, as used in many DM central banks including the Fed. While we think the PBOC is likely to keep the policy rate on hold this year (see [Global Economics Quarterly](#), 22 June), the adjustment to monetary tools adds more options to the PBOC's toolkit.

FDI: A new action plan to better utilise foreign investment and open-up access

Part of China's high-level opening-up plan involves expanding domestic access for foreign activities. On 22 June, China's Ministry of Commerce, together with other government departments, released an action plan to optimise the utilisation of foreign investment. The plan includes expanding market access in sectors such as services, finance, and pharmaceuticals; streamlining processes for cross-border mergers and acquisitions, data flows, and reinvestment by foreign invested enterprises in China; and strengthening policy support measures for foreign funded R&D centres.

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We see more MNCs looking to tap into China's innovation capabilities by establishing R&D centres and increase investment in China, and we are seeing a revival in FDI flows (Chart 1). The World Intellectual Property Organization (WIPO) has ranked China among the world's top-10 most innovative economies. In the first five months of this year, nearly 4,000 foreign enterprises expanded their investments in China. In 2025, R&D spending accounted for 14.3% of MNCs' global R&D in their greenfield investment in China, with pharmaceuticals attracting the largest share (70.8% of total R&D investment) (CAITEC, 16 June). The action plan will encourage FDI inflows and channel capital into high-tech industries and modern services, supporting industrial upgrading and long-term development.

Meanwhile, a relatively stable China-US economic and trade relationship may also support stronger US investment appetite (Chart 2). China and the US have agreed to set up a Board of Investment Board to identify and clarify non-strategic sectors where they can strengthen bilateral investment cooperation. From January to May, US FDI in China increased by 17.3% y-o-y. Meanwhile, China's resilience amid the Middle East conflict has further strengthened its relative appeal, reflected in a 285.5% increase in Saudi investment. The recent easing of Middle East tensions between the US and Iran may also help sentiment to improve trade and investment flows (CNBC, 22 June).

Consumption: Dragon Boat festival sees per capita spending down; “6.18” sales muted
China's consumers remain cautious (see [China's cautious consumer](#), 22 May). China recently held the annual Dragon Boat festival (19-21 June), which saw the number of domestic trips rise 4.4% y-o-y (124m), while total spending increased 4% (RMB44.5bn). While each hit new records, the per capita spending remained below pre-pandemic levels (down 14% vs 2019) (Chart 3). Ongoing caution for consumers has been evident in labour market pressures and continued drag in the property sector.

Such lukewarm consumer sentiment follows the annual online shopping holiday “6.18”, which lasted from 13 May to 18 June (the same period as in 2025), which showed goods demand lagging. Gross merchandise value in e-commerce was generally flat, reaching RMB864bn vs RMB856bn last year, according to data from Syntun. This mimics the soft May retail sales, which declined 0.6% y-o-y.

We believe the services sector could take the lead given its greater potential to expand growth in new areas such as digital and AI services, as well as basic services including childcare and healthcare. A new combined goods and services series was released by NBS in May 2026, 2.8% ytd y-o-y, which showed services (5.4%) leading goods (1.4%) growth (Chart 4).

Fiscal data: another month of expenditure slowdown

Fiscal expenditure continued to slow in May, echoing the disappointing FAI data. The major drag still came from government-managed funds, where expenditure fell 11% y-o-y due to softer land sales and the slowdown in special local government bond issuance (only 3.7% of annual quota in May 2026 versus 10% in May 2025). On the general public budget side, revenue growth held up well (up 6.6% y-o-y), helped by the ongoing recovery in VAT and corporate income taxes amidst PPI improvement (see [China inflation](#), 10 June). However, expenditure recorded another decline (-1.6%). Together, the broad-based fiscal deficit reached RMB590bn in Apr-May this year versus RMB982bn over the same period last year.

Structurally, a smaller share of the general public expenditures was allocated to infrastructure (i.e., environment protection, community affairs, agriculture, and transportation) and more funding was given to livelihood-related areas since the start of this year (Chart 5). This aligns with the policy tone that the long-term push to build a strong domestic market will be achieved via “investing in people” (human capital, healthcare, education, skills). That said, with recent FAI weakness intensifying, we expect the balance to re-emphasise investment. To support this, we expect re-acceleration of bond issuance and faster deployment of funds to projects (Chart 6).

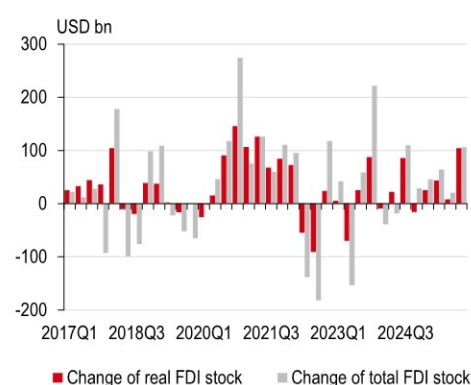
Table 1: Major financial measures announced at the 2026 Lujiazui Financial Forum

Department	Measures
PboC	◆ Improve short-term interest rate control framework ◆ Establish a repo facility for overseas central bank-type institutions ◆ Study a macroprudential tool to provide liquidity support to non-banks under specific scenarios ◆ Authorise six banks to conduct offshore RMB FX trading in the Shanghai FTZ via the China Foreign Exchange Trade System (CFETS) platform
NFRA	◆ Promote greater investment by medium- and long-term funds in equities and bonds ◆ Accelerate revisions to the Banking Supervision Law and the Insurance Law ◆ Support pilot programmes for new financial business models in Shanghai; jointly roll out measures to speed up Shanghai's development as an international reinsurance centre ◆ Support efforts to mitigate risks in the property sector and local government debt
CSRC	◆ Work with the PBOC to advance a pilot for RMB FX futures ◆ Strongly support M&A and refinancing by listed companies; support eligible Hong Kong-listed companies to list onshore ◆ Expand STAR Market "Fifth Set" listing criteria to cover AI foundation model companies ◆ Release guidance in due course on the regulated development of AI in capital markets ◆ Encourage licenced foreign institutions to participate in the fund investment advisory pilot and expand the programme
SAFE	◆ Launch a package of incremental policies soon to facilitate cross-border investment and financing ◆ Fully reform cross-border policies for foreign direct investment (FDI) ◆ Further streamline FX administration for outbound direct investment (ODI) and external debt; optimise rules for FX loans and cross-border equity incentives; issue a new batch of QDII quotas
Shanghai International Financial Centre – Offshore Finance Action Plan	◆ Expand the pilot for integrated reform of offshore trade finance services in the Lingang New Area of the Shanghai FTZ; support global quality traders to set up dedicated offshore trade companies ◆ Set a dedicated quota for Free Trade Account (FTA) units in the Shanghai FTZ to invest in offshore bonds ◆ Support Shanghai's pilot for multinational treasury centres; encourage MNCs to establish international treasury centres ◆ Support eligible commercial banks to conduct offshore RMB FX trading in the Shanghai FTZ ◆ Facilitate financial services for non-resident individuals

Source: CLS, HSBC

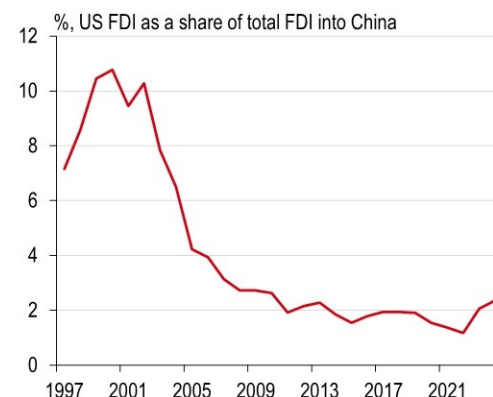
Charts of the week

1. China's rising innovation capabilities attract FDI



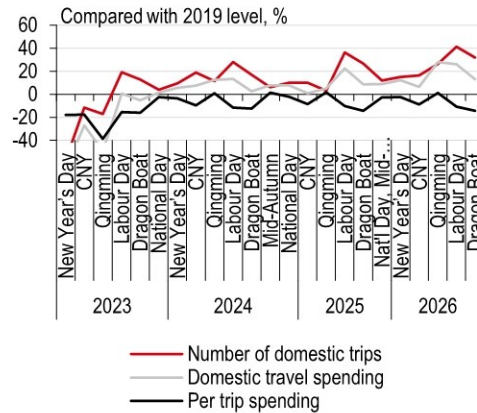
Source: SAFE HSBC; Note: We use the method discussed in FDI Myths and Truths (11 Dec 2023) to compute 'real FDI' inflows, which strip out 'phantom' investments into special purpose entities, for the sake of masking the funding source but not for actual use.

2. Investment from the US may increase as China-US relations stabilise



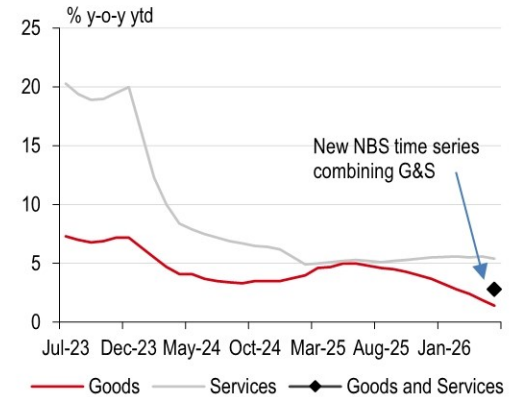
Source: Wind, HSBC

3. Holiday travel increased, but per capita spending remained subdued



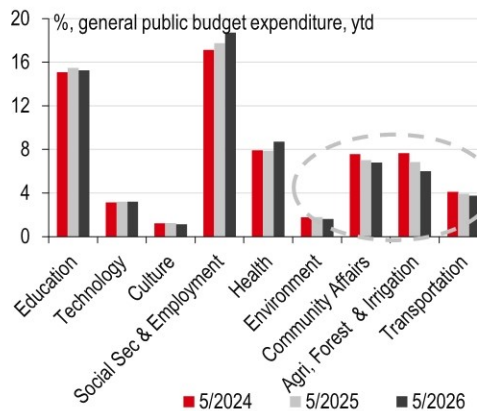
Source: Xinhua, HSBC

4. NBS released a new time series combining goods and services



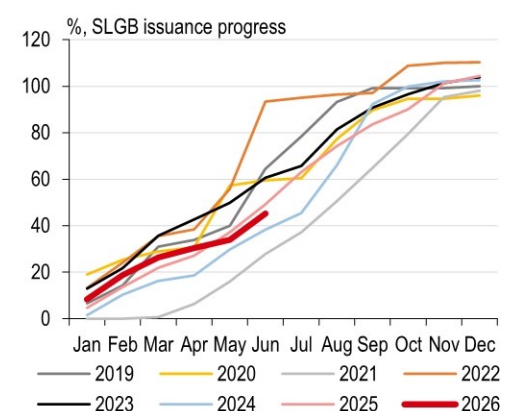
Source: Wind, HSBC

5. More fiscal funding was given to livelihood-related areas



Source: CEIC, HSBC

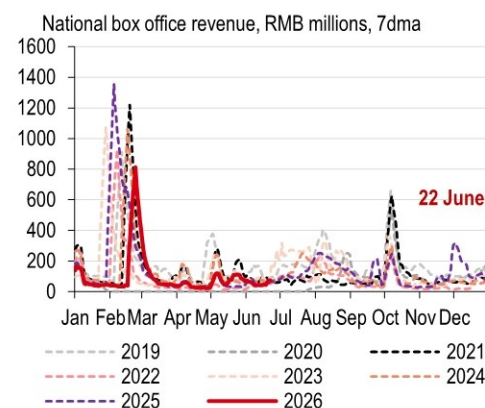
6. LGSB issuance can be stepped up to support infrastructure investment



Source: Wind, HSBC; Note: Data as of 23 June.

Economic activity

7. National box office revenues edged up



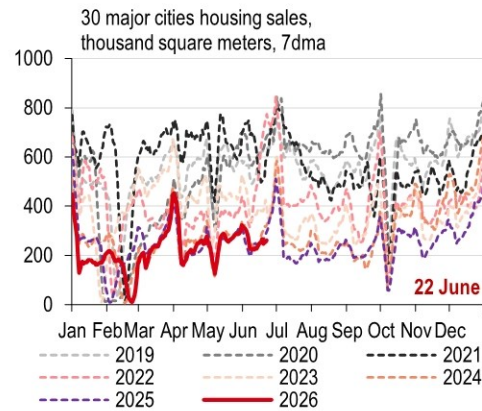
Source: Wind, HSBC

8. Housing prices in tier-1 cities edged up



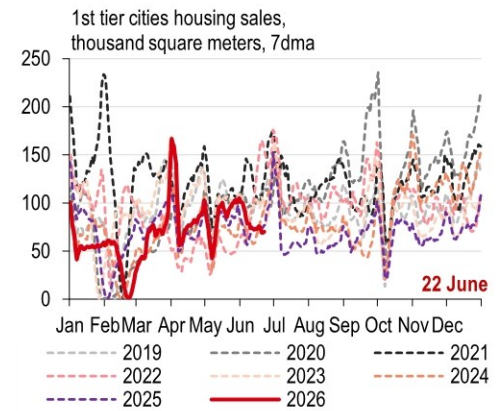
Source: Bloomberg, HSBC; Note: as of 23 June.

9. New home sales edged up seasonally



Source: Wind, HSBC

10. New home sales in Tier-1 cities dipped during the holiday



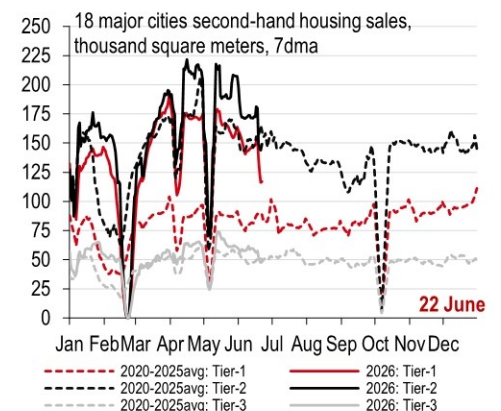
Source: Wind, HSBC

11. Second-hand home sales in 18 major cities eased due to the holiday



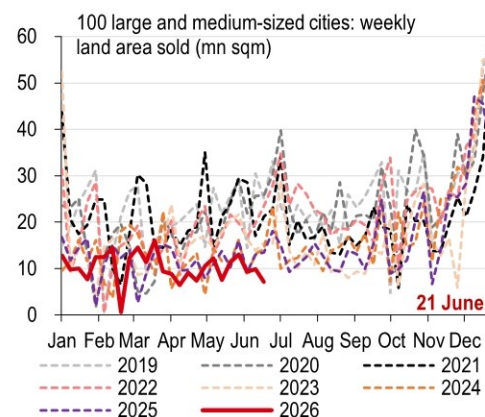
Source: Wind, HSBC

12. Transactions in second-hand homes in Tier-2 cities remained higher y-o-y



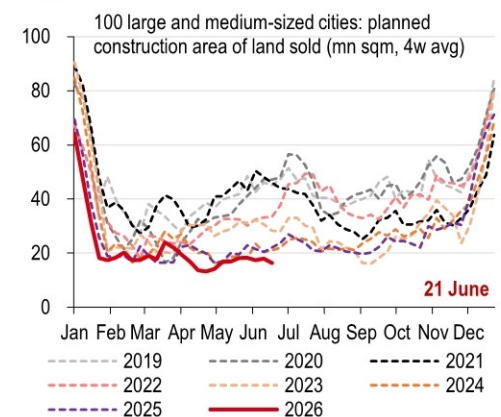
Source: Wind, HSBC

13. Land sales edged down



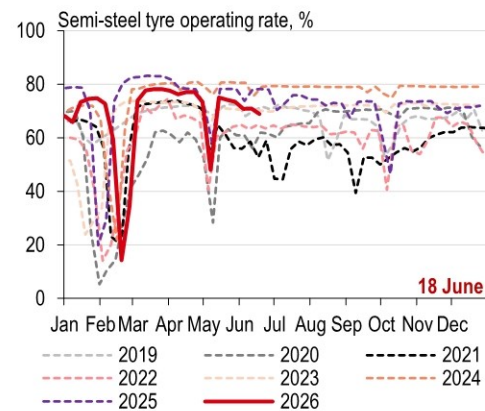
Source: Wind, HSBC

14. Planned construction area of land sold edged down



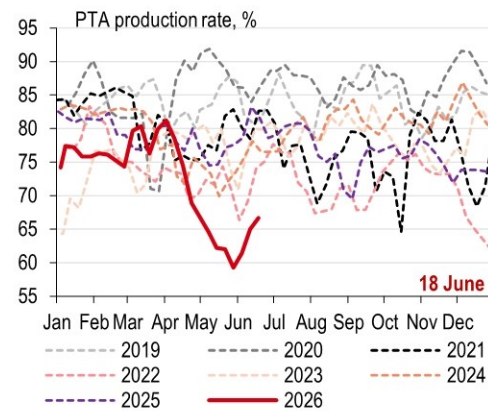
Source: Wind, HSBC

15. The semi-steel tyre operating rate edged down



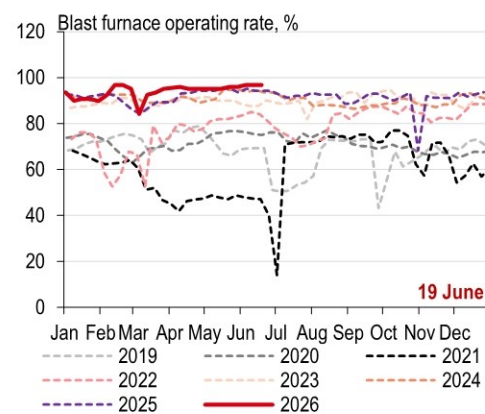
Source: Wind, HSBC

16. The production rate in the chemical sector picked up



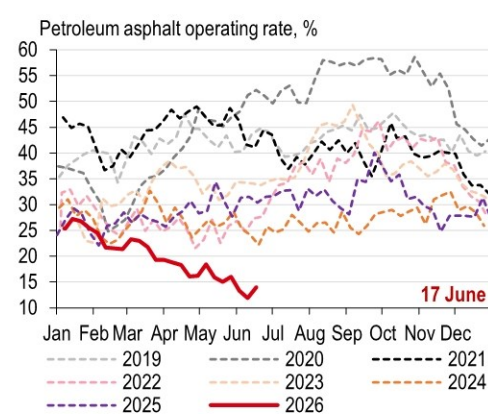
Source: Wind, HSBC

17. The blast furnace operating rate remained above historical levels



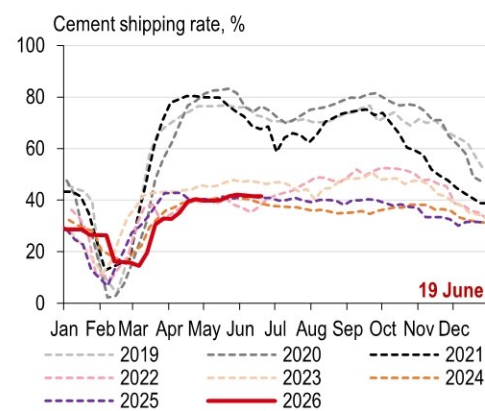
Source: Wind, HSBC

18. The petroleum asphalt operating rate ticked up



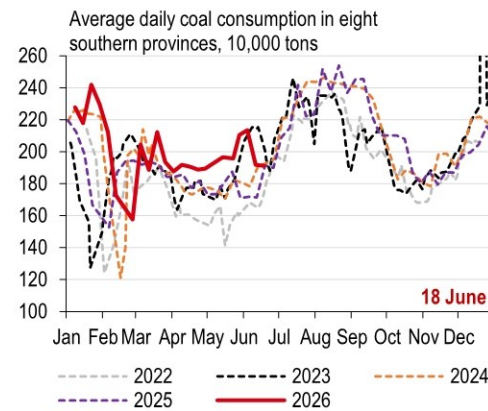
Source: Wind, HSBC

19. The cement shipping rate steadied



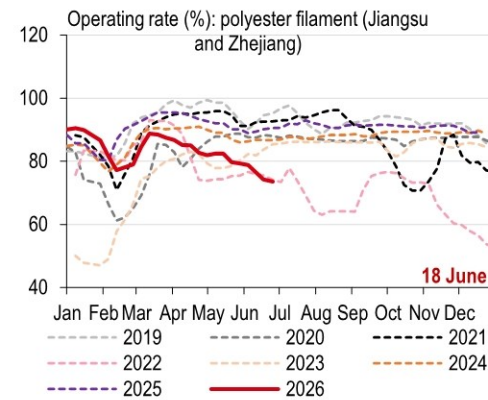
Source: Wind, HSBC

20. Coal consumption for eight major provinces edged down

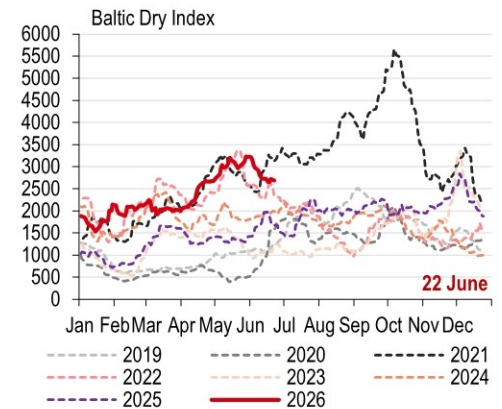


Source: Wind, HSBC

21. The operating rate of polyester filaments eased further

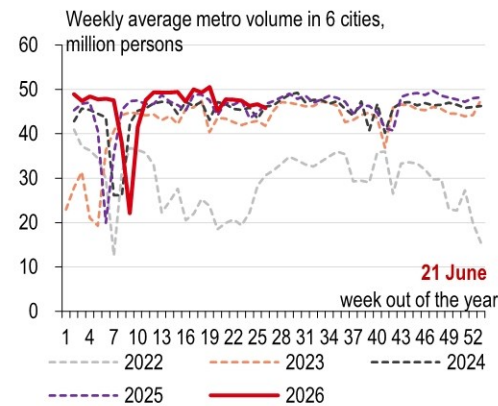


22. The Baltic Dry Index edged down

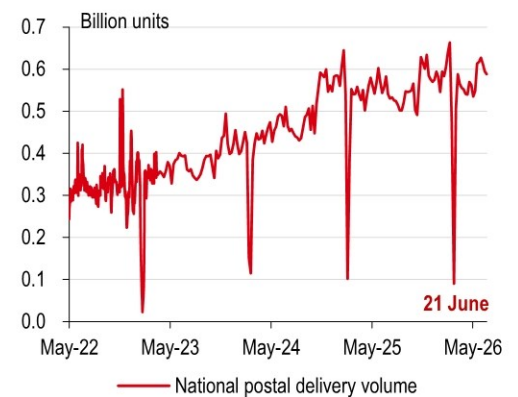


Travel and logistics

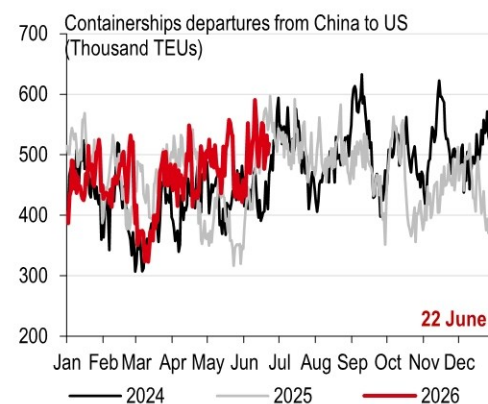
23. Metro volumes in large cities steadied



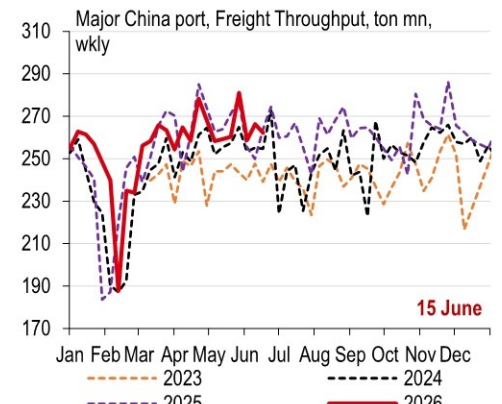
24. Postal delivery volumes edged down



25. Container exports from China to the US edged down

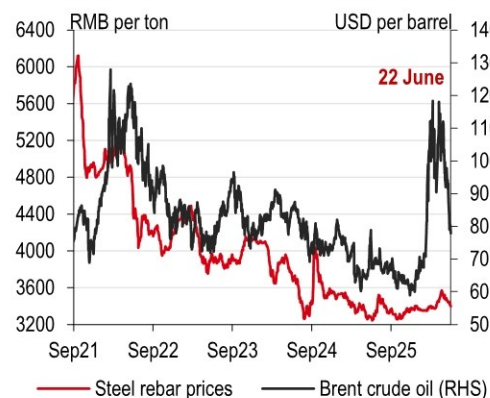


26. China's major ports' freight throughput edged down



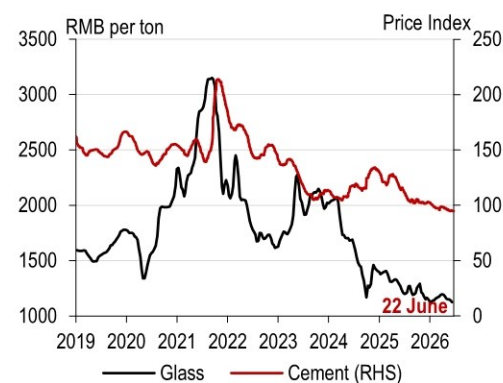
Inflation and policies

27. Crude oil prices fell as the US and Iran reached a deal



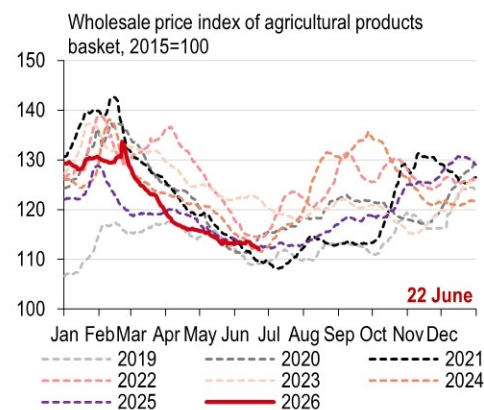
Source: Wind, HSBC

28. Cement prices and glass prices both edged down



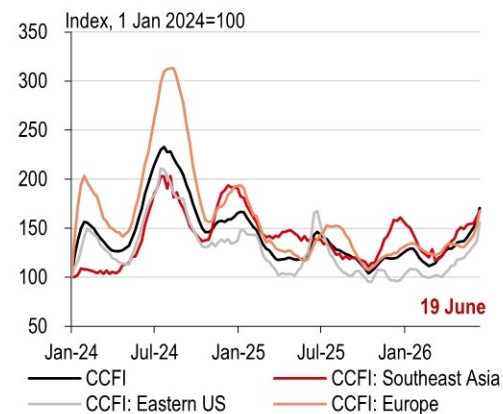
Source: Wind, HSBC

29. Agricultural product prices eased seasonally



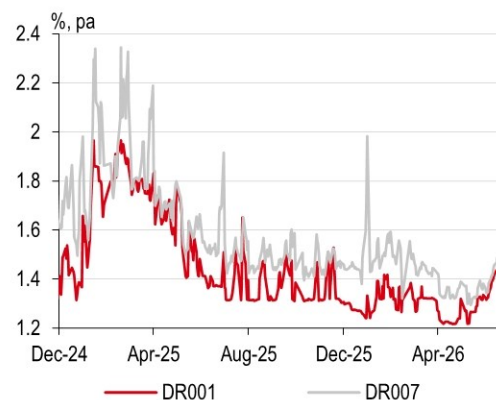
Source: Wind, HSBC

30. Container shipping costs on China-Southeast Asia route edged up



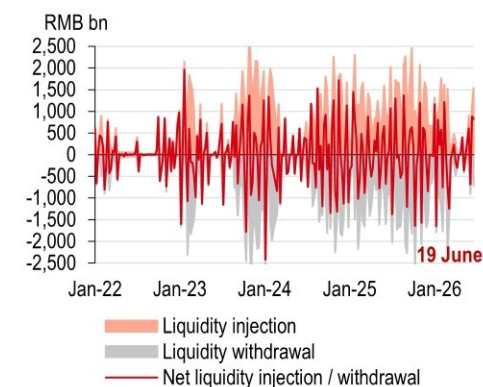
Source: Wind, HSBC

31. Interbank rates edged up



Source: Wind, HSBC

32. The PBOC made net injections through OMOs last week



Source: Wind, HSBC

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